

How to Choose the Right Stock to Purchase

Lesson 3: Types of Stocks

Types of Stocks – Study Notes

Key Concepts

1. **Common vs. Preferred Stock** – ownership rights, dividend priority, voting power, and liquidation preferences.
2. **Growth vs. Value Stocks** – differing investment objectives, earnings expectations, and valuation metrics.
3. **Large Cap vs. Small Cap Stocks** – market capitalization categories, risk/return profiles, and typical investor suitability.

Summary

Stocks represent ownership in a corporation, but not all shares are created equal. **Common stock** gives shareholders voting rights and the potential for capital appreciation, while **preferred stock** behaves more like a hybrid between equity and debt, offering fixed dividends and higher claim on assets but usually no voting power.

Investors also categorize stocks by **investment style**. **Growth stocks** are companies expected to increase earnings faster than the overall market; they often trade at higher price to earnings (P/E) ratios and reinvest profits rather than pay dividends. **Value stocks** appear cheap relative to fundamentals (low P/E, low price to book) and typically pay steady dividends, appealing to investors seeking income and margin of safety.

Finally, stocks are grouped by **market capitalization**. **Large cap** firms (often > \$10 /billion) are usually well established, more liquid, and less volatile. **Small cap** firms (typically \$300 /million–\$2 /billion) can offer higher growth potential but come with greater price swings and liquidity risk. Understanding these dimensions helps you align stock choices with your risk tolerance, time horizon, and investment goals.

Important Points

- **Common Stock**
 - Voting rights (usually one vote per share).
 - Dividends are variable; not guaranteed.
 - Last in line for assets if the company liquidates.
- **Preferred Stock**
 - Fixed dividend (often expressed as a percentage of par value).
 - No or limited voting rights.
 - Higher claim on assets and earnings than common shareholders.
 - Can be callable or convertible into common shares.
- **Growth Stocks**

- High earnings growth expectations (often > /15% annual EPS growth).
- High P/E, P/S, or PEG ratios.
- Typically reinvest earnings; low or no dividend yield.
- Sectors: technology, biotech, e commerce.
 - **Value Stocks**
- Low valuation multiples (P/E < /15, P/B < /1.5) relative to peers.
- Often pay consistent dividends.
- Emphasis on intrinsic value estimation and margin of safety.
- Sectors: utilities, consumer staples, financials.
 - **Large Cap**
- Market cap > /\$10 /billion (some definitions use \$5 /billion).
- High liquidity, stable earnings, lower volatility.
- Often components of major indices (e.g., S&P /500).
 - **Small Cap**
- Market cap roughly \$300 /million–\$2 /billion.
- Higher growth potential, but higher business and market risk.
- May be less liquid; larger bid ask spreads.
 - **Risk/Return Trade off**
- Preferred > Common (lower risk, lower upside).
- Value > Growth (lower risk, lower upside).
- Large Cap > Small Cap (lower risk, lower upside).

Examples

1. Common vs. Preferred

- *Apple Inc.* (AAPL) issues only common shares; shareholders can vote on board members and receive any dividend Apple declares.
- *Bank of America* (BAC) has a series of preferred shares (e.g., BAC /PR /A). Holders receive a fixed 5% annual dividend before any common dividend is paid, but they cannot vote on corporate matters.

2. Growth vs. Value

- *Tesla, Inc.* (TSLA) is a classic growth stock: rapid revenue and earnings growth, high P/E (often > /80), and it reinvests most cash back into the business.
- *Procter & Gamble* (PG) exemplifies a value stock: modest earnings growth, low P/E (~15), consistent dividend yield (~2.5%), and a price that often trades below its historical average P/E, indicating relative cheapness.

3. Large Cap vs. Small Cap

- *Microsoft* (MSFT) – market cap > /\$2 /trillion !' large cap, highly liquid, lower volatility.
- *Etsy, Inc.* (ETSY) – market cap "H /\$7 /billion (mid cap) but many small cap firms like *Roku* (ROKU, ~ /\$3 /billion) illustrate higher price swings and growth potential.

Quick Review

1. **What primary right do common shareholders have that preferred shareholders usually do not?**
2. **Name two financial ratios commonly used to identify value stocks.**

3. **Why might an investor choose a small cap stock over a large cap stock?**
4. **If a company declares a dividend, which class of shareholders gets paid first?**
5. **Give an example of a sector where growth stocks are most prevalent.**

Further Reading

- **Dividend Policy & Preferred Stock Features** – explore callable, convertible, and cumulative preferred shares.
- **Fundamental Valuation Techniques** – discounted cash flow (DCF) and relative valuation for growth vs. value analysis.
- **Market Cap Index Construction** – how indices like the Russell 2000 (small cap) and S&P /500 (large cap) are built and used as benchmarks.
- **Risk Management for Small Cap Investing** – liquidity considerations, position sizing, and diversification strategies.

These notes provide a solid foundation for recognizing and evaluating the main types of stocks you'll encounter as a beginner investor.

